Ind AS 115 — Deep Dive

Every step with a computed numerical. Name the step, show the working, conclude.

1 Step 2 — is it distinct? (two-stage test) 27 - 30

Indicator it's NOT distinct in context	Example
Significant **integration** service into a combined output	Construction: bricks, labour, design → one building
One **significantly modifies / customises** the other	Software requiring heavy customisation
Highly **interdependent / interrelated**	Can't fulfil one without the other

→ **Series**: substantially the same distinct goods / services, same pattern of transfer (daily cleaning, monthly payroll) → **single PO** 22(b)

→ Set-up activities that transfer nothing to customer → **not a PO**

2 Step 3 — variable consideration

Case	Working
Binary bonus: ₹1 cr if finished by 31 Dec (60% likely)	Use **most likely amount** (binary outcome) → ₹1 cr — **then apply constraint**: if not **highly probable**, include **nil** until uncertainty resolves
Volume rebate: ₹100 / unit; 10% retrospective rebate if > 1,000 units in the year. Q1 sales 200; expected annual 1,200	Expected price ₹90 → Q1 revenue **₹18,000**; **refund liability ₹2,000**. Re-estimate each quarter; cumulative catch-up
Many possible outcomes (portfolio of returns)	**Expected value** (probability-weighted)
Sales / usage-based royalty on licence of IP	Not estimated — recognise when sale / usage occurs (exception)

3 Step 3 — significant financing component

Case	Working
Deferred payment: ₹10,00,000 payable 2 years after delivery; discount rate 10%	Revenue at delivery = 10,00,000 ÷ 1.1^2 = **₹8,26,446**; **interest income** Y1 ₹82,645, Y2 ₹90,909
Advance payment: customer pays ₹8,00,000 two years before delivery; entity's rate 6%	**Interest expense** Y1 ₹48,000, Y2 ₹50,880 → contract liability grows → revenue at delivery **₹8,98,880**

No adjustment if gap ≤ 1 year (expedient), advance at customer's discretion, variable consideration outside control, or difference for reasons other than financing (e.g., retention for performance).

④ Step 4 — allocation by relative SSP

Bundle price ₹1,00,000: phone (SSP 80,000), 2-year service (SSP 30,000), accessory (SSP 10,000). Total SSP 1,20,000.

PO	SSP	Allocated	Recognised
Phone	80,000	**66,667**	On delivery
Service	30,000	**25,000**	Over 24 months
Accessory	10,000	**8,333**	On delivery

Discount of ₹20,000 spread **pro rata** — unless observable evidence it relates to specific POs (e.g., phone + accessory always discounted together) [82].

⑤ Customer loyalty points (material right)

Sales ₹1,00,000 earn 10,000 points (₹1 each); expected redemption 80% → SSP of points ₹8,000.

Working	₹
Goods: 1,00,000 × 1,00,000 ÷ 1,08,000	**92,593** (revenue now)
Points: 1,00,000 × 8,000 ÷ 1,08,000	**7,407** (contract liability)
Year 1: 4,500 points redeemed of 8,000 expected → 7,407 × 4,500 ÷ 8,000	**4,167** revenue

Change in expected redemption → cumulative catch-up on the liability (revenue = liability × cumulative redeemed ÷ revised total expected).

⑥ Right of return

100 units sold at ₹1,000 (cost ₹600); 5% expected to be returned; no loss on return.

Entry	₹
Revenue (95 units)	**95,000**
Refund liability (5 units)	**5,000**
Asset — right to recover goods (5 × 600, less recovery costs)	**3,000**
Cost of sales (95 × 600)	**57,000**

⚠ TRAP

Exchange for **same type / quality** (e.g., different size) is **not** a return. Return of **defective** goods → warranty. Refund liability & asset are shown **gross**, not offset.

7 Over time — cost-to-cost with uninstalled materials

*Contract price ₹10 cr; estimated total cost ₹8 cr. Cost to date ₹3 cr, of which ₹1 cr = specialised lifts delivered, **not yet installed** (customer controls them; entity not involved in design).*

Working	₹ cr
Revenue on lifts = cost (zero margin) B19	*1.000*
Progress on rest = cost excl. lifts 2 ÷ total excl. lifts 7	*28.57%*
Revenue on rest = (10 − 1) × 28.57%	*2.571*
Total revenue to date	***3.571***
Cost recognised 3.000 → margin 0.571 (= 2/7 of the ₹2 cr margin)	

*Expected **loss** on contract → Ind AS 37 onerous contract provision. Wasted materials / inefficiencies **excluded** from progress.*

8 Contract modification — numbers

Contract: 120 units at ₹100. After 60 delivered, customer adds 30 units.

Price for extra 30	Treatment
*₹95 = **standalone** price at that date*	***Separate contract**: 60 × ₹100 + 30 × ₹95*
₹80, not standalone (goods distinct)	***Prospective**: (60 × 100 + 30 × 80) ÷ 90 = **₹93.33** per remaining unit*
Single PO partly satisfied (e.g., building)	***Cumulative catch-up** of revenue at modification date*

9 Principal vs agent

Case	Answer
Online platform sells third-party goods; seller sets price, ships, bears inventory risk	***Agent** → revenue = **commission***
Travel firm pre-buys airline tickets (bears risk if unsold), sets own price	***Principal** → gross revenue*
Reseller of software licences with no pricing discretion, no support obligation	***Agent***

*Key question: does the entity **control the specified good / service before** it transfers to the customer? Indicators support, they don't override.*

10 Licences of IP

Type	Test	Recognise
Right to access	*Licensor expected to undertake activities that **significantly affect** the IP; customer exposed to them (brand / franchise names)*	***Over time***
Right to use	*IP has significant stand-alone functionality (software, films, music) as it exists*	***Point in time** (not before use period starts)*

11 Contract costs — numbers

- → *Sales commission ₹3 L on winning a 3-year service contract → **asset**, amortise ₹1 L / year (straight-line if service evenly delivered); include anticipated renewals if commission relates to them*
- → *Legal fees for drafting the bid (incurred whether or not won) → **expense***
- → *Commission on a 1-year contract → may **expense** (practical expedient)*
- → *Set-up costs of a data centre for an outsourcing contract (not PPE) → **fulfilment cost asset** if criteria met*

12 Warranty — split test

Fact	Result
Standard 1-year cover required by law; repairs defects only	***Assurance** → Ind AS 37 provision*
Customer can buy extended warranty separately	***Service** → separate PO, defer revenue*
3-year cover where market norm is 1 year	*Split: 1 yr assurance + 2 yrs **service PO***

13 Other must-know

- → ***Non-refundable upfront fee** (gym joining fee) → advance for future services → recognise over membership (and expected renewals if a material right)*
- → ***Breakage** on gift cards → recognise expected breakage in proportion to redemptions, if no significant reversal; else when remote*
- → ***Customer acceptance** that is objective (meets agreed specs) → doesn't delay control; subjective → wait*
- → ***Consideration payable to customer** (slotting fees ₹5 L to retailer) → reduce revenue when the later of revenue recognised / payment promised*
- → ***Collectability** doubtful from the start → no contract; cash received = liability*

> ✍ **Write in exam**
> *"Since the customer has a material right in the form of loyalty points, the points constitute a separate performance obligation as per para B40 of Ind AS 115. The transaction price is allocated between the goods and the points on the basis of relative stand-alone selling prices, and the amount allocated to the points is recognised as a contract liability until the points are redeemed or expire."*